Grandeur

The Consulting and Knowledge Cell of SSCBS

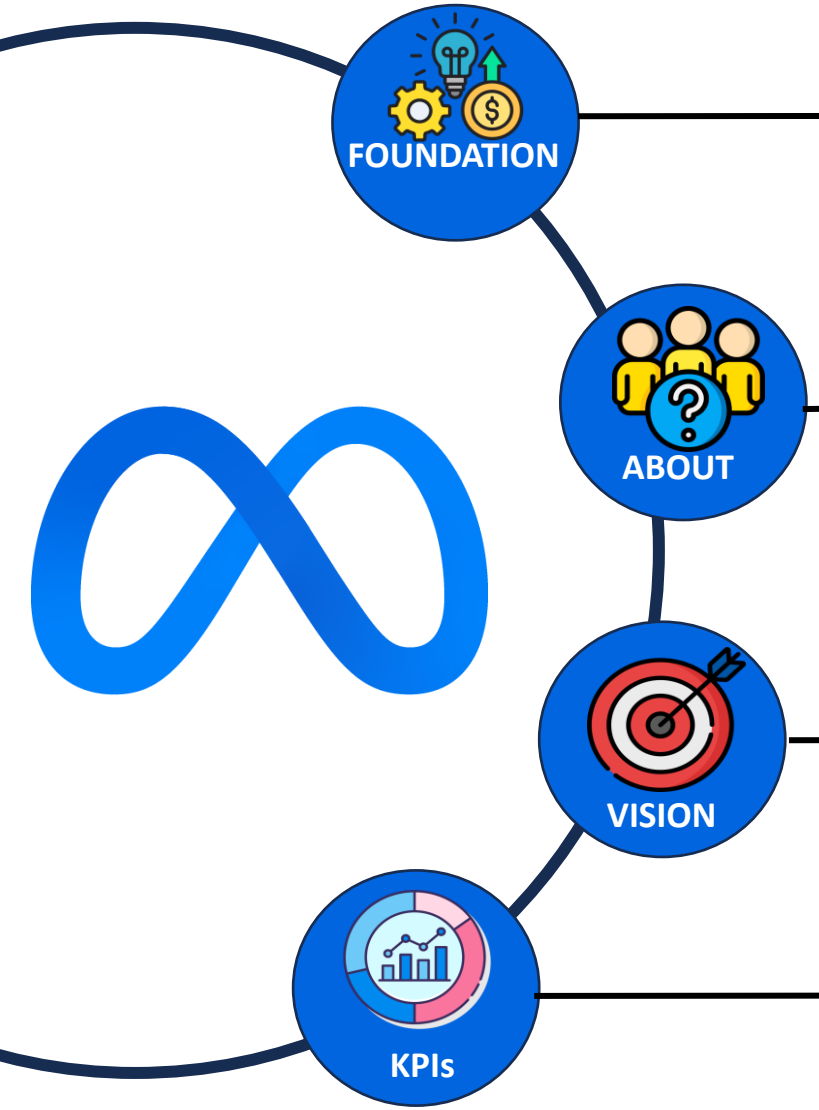
presents

COMPANY ANALYSIS

Of

Meta

OVERVIEW



- Founded by Mark Zuckerberg, Eduarado Saverin, Andrew McCollum, Dustin Muskovitz & Chris Hughes in **February 2004**
- Initially limited to **Harvard University students**

- Meta Platforms is a leading **global technology company** that focusses on **building and connecting communities**
- It operates a range of social media platforms including **Facebook, WhatsApp** & **Instagram**

- Meta core values includes **impact orientation, speed, courage, openness, and social added value**
- Meta's mission is to create a **social media ecosystem** that fosters **meaningful connections and facilitates positive social interactions**

- More than **77% of Internet users**, about **3.59 billion people**, are active on at least **one Meta platform**
- Expanded into **Metaverse and VR with Oculus**

TIMELINE

2004 — FOUNDATION

When Facebook launched in 2004, it changed the way people connect. In 2005 opened its platform to high schools & international universities.

2008 — EXPANSION

Expanded beyond educational institutes & opened its platform to anyone aged 13 in 2006. In 2008 it launched Facebook Chat.

2012 — STRATEGIC ACQUISTION

In 2012, Facebook acquired Instagram for $1 billion. In 2014 it acquired WhatsApp for $14 billion.

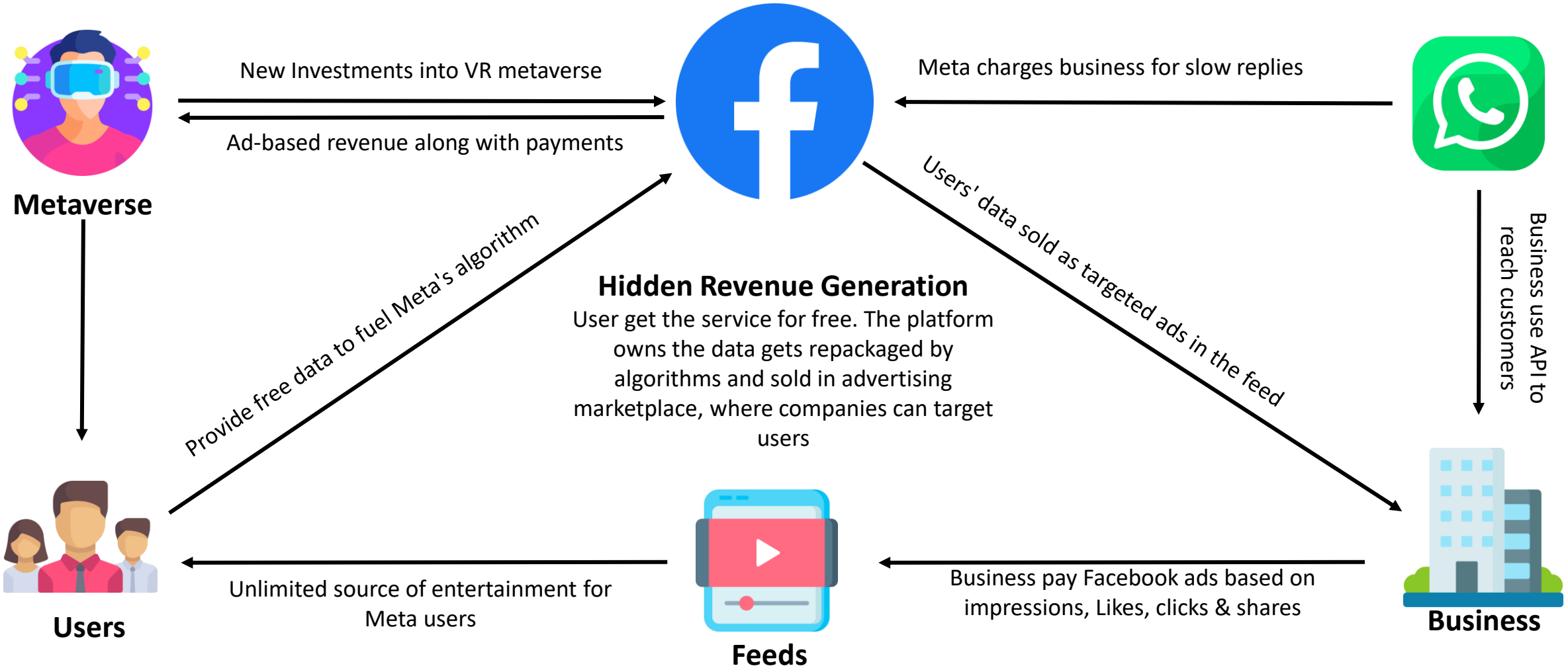
2015 — MOBILE DOMINATION

In 2015, Facebook surpassed one billion active users, becoming largest social media platform. It introduced Facebook Live allowing to stream live videos.

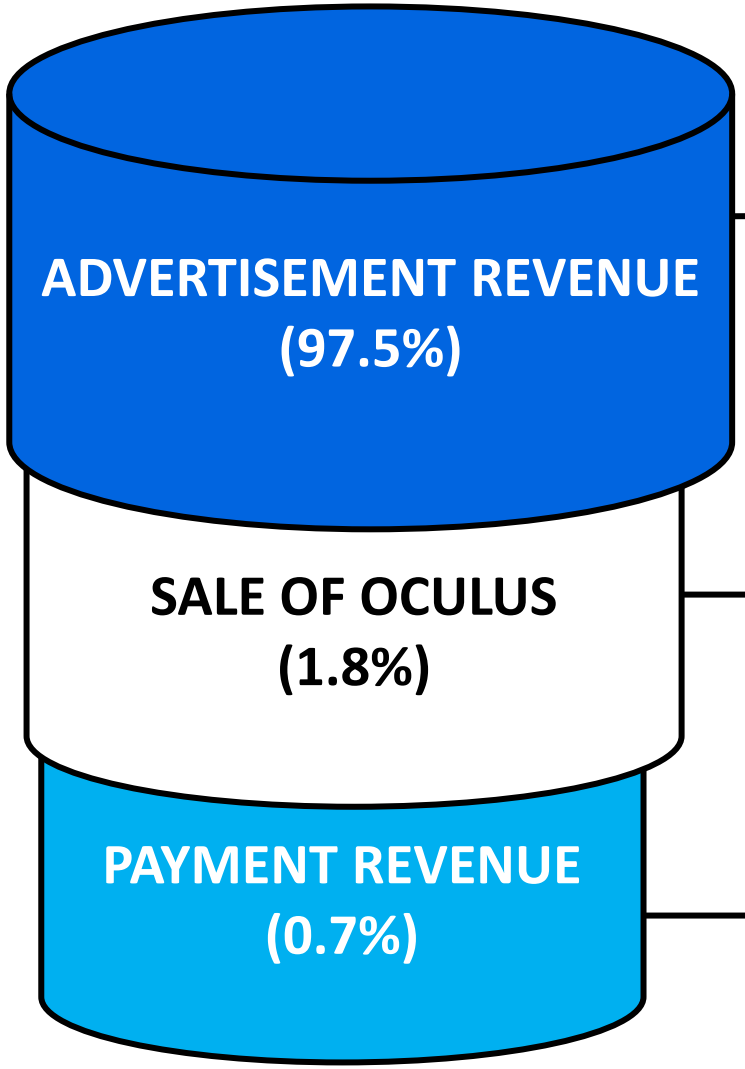
2021 — REBRANDING AS META

In October 2021, Mark Zuckerberg rebranded Facebook as Meta Platforms. It reflected its mission to build a metaverse, a VR world.

BUSINESS MODEL



REVENUE MODEL



1

Ad-Based Revenue

- Meta offers various ad formats across its platforms, including Facebook, Instagram, WhatsApp, and Messenger. These formats include **display ads, sponsored posts, video ads, carousel ads**, and more.
- Meta leverages its **vast amount of user data** to provide advertisers with **advanced targeting capabilities**. Advertisers typically pay for ads based on the **cost-per-click (CPC) or cost-per-thousand-impressions (CPM) models**.

2

Sales of Oculus

- Meta's virtual reality platform, Oculus, includes an **online store** where users can purchase VR games, apps, and experiences. Meta earns revenue by taking a portion of the sales made through the Oculus Store.
- Meta provides **hardware** required to access Metaverse.

3

Payment-Based

- **Fees that Facebook receives** from the developer community or wholesalers for utilizing **Facebook's payment infrastructure.**
- Facebook **charges a fee** for any **business transaction on its platform** i.e. from Marketplace deals, sale of digital products, sales of apps from developers.

INDUSTRY ANALYSIS

Parameters	Facebook	Telegram	Snapchat	YouTube	Twitter
Short videos	✓		✓	✓	
Posts	✓			✓	✓
Video calls	✓	✓	✓		
Share media on chat	✓	✓	✓		✓
Interact with Bots	✓	✓			✓
Live streaming	✓	✓	✓	✓	✓

Response to the Competitive Threat

Facebook is responding to it's competitors by creating and acquiring products similar to theirs'. It appears to be having some success with it. Instagram Reels feature is already being used by many Gen Z users. WhatsApp is a recent acquisition that increased Facebook's prominence in the messaging space. Live video is a feature that allows Facebook users to livestream, similar to YouTube. Together, these products and features help Meta stay ahead of the competition on features.

KEY TAKEAWAYS

	HELPFUL	HARMFUL
INTERNAL	**STRENGTHS** • Strong Brand Value • Diversified Portfolio: Includes Facebook, Instagram, WhatsApp (SM), Oculus (VR), Workspace & Calibra (Payment Merchant) • Market Dominance: 2.61 billion Monthly Active Users • Focus on R&D: Invested $24.1 billion in Virtual Reality	**WEAKNESS** • Privacy Concerns: Meta lost 15 million users since 2017 • Over dependence on Ads: 98% revenue from ads • Spreading Fake News: Meta has failed to control fake news
EXTERNAL	**OPPORTUNITIES** • Generate diversified revenue streams • Expansion and diversification of existing platforms • Expansion through strategic acquisitions • Deliver Libra-Cryptocurrency of Meta	**THREATS** • Competition: Facing increasing competitions from Twitter and Snapchat • Data Breach: 267 million users' data breached to malicious groups • New Digital Tax: Facing stringent tax in European Union

WHAT'S NEXT

Mark Zuckerberg just announced the initial version of **Threads**, an app built by the Instagram team for sharing with text.

Whether you're a creator or a casual poster, Threads offers a new, separate space for **real-time updates** and public conversations.

Meta are working toward making Threads **compatible** with the open, interoperable social networks that they believe can shape the future of the internet.

Threads are being rolled out in more than **100 countries** for iOS and Android, and people in those countries can download the app from the Apple App Store and Google Play Store.

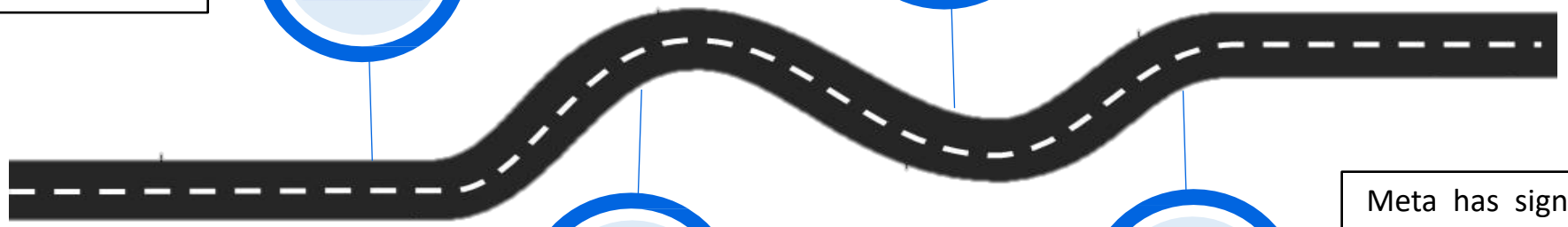
FUTURE

In recent years, there has been increased scrutiny of social media companies' data collection and sharing practices. Meta will need to continue to **prioritize user privacy and security** to maintain user trust and avoid legal and reputational risks.

PRIVACY

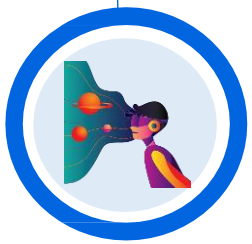
COMPETITION

Meta faces strong competition from other social media companies, as well as emerging players in the technology industry. The company will need to continue to **innovate and adapt to changing user preferences and behaviours** to remain competitive.



REGULATION

Social media companies are facing increased regulatory scrutiny. Meta will need to navigate these regulatory challenges to avoid legal and reputational risks and **ensure compliance with applicable laws and regulations**.



METAVERSE

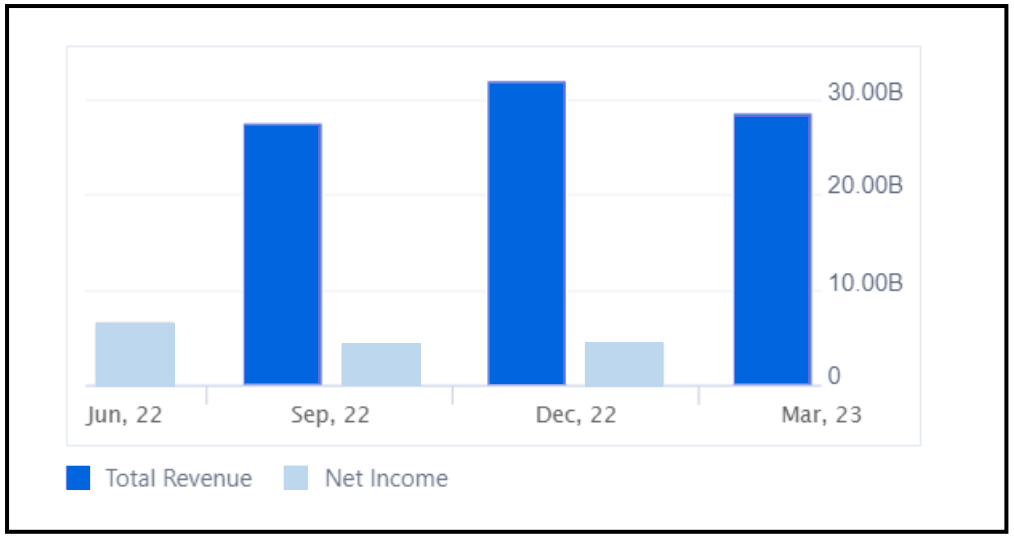
Meta has signaled its intention to shift its **focus towards the metaverse**, which is a virtual shared space that allows users to **interact in a 3D environment**. The success of this endeavor will depend on the ability of Meta to build a user base.

FINANCIALS

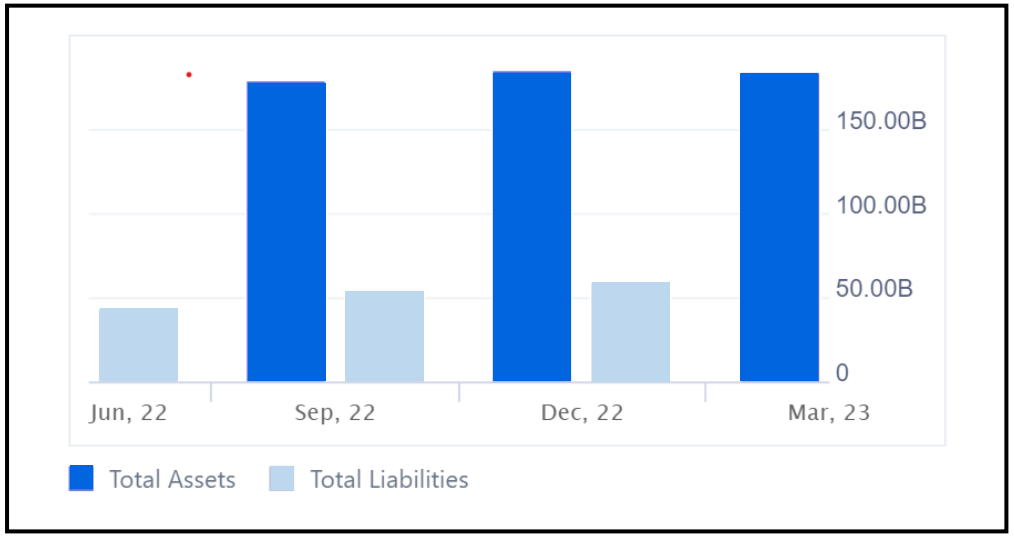
META INCOME STATEMENT

Gross margin TTM	79.58%
Operating margin TTM	28.46%
Net Profit margin TTM	18.27%
Return on Investment TTM	19.06%

Particulars	March, 2023	December, 2022	September, 2022	June, 2022
Total Revenue	28,645	32,265	27,714	28,822
Gross Profit	22,537	25,291	22,031	23,630
Operating Income	7,227	10,597	6,077	8,358
Net Income	5,709	4,653	4,395	6,687



META BALANCE SHEET

Quick Ratio MRQ	1.91
Current Ratio MRQ	2.07
LT Debt to Equity MRQ	7.95%
Total Debt to Equity MRQ	22.65%

Particulars	March, 2023	December, 2022	September, 2022	June, 2022
Total Assets	184,491	185,727	178,894	169,779
Total Liabilities	59,696	60,014	54,800	44,012
Total Equity	124,795	125,713	124,094	125,767